GLOBAL METALS & MINING

BHP/S32 Copper; Spence and Sierra Gorda partnership could unlock US$2-4bn in synergies

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BHP's Spence copper mine and Sierra Gorda JV (55% KGHM/45% South32) recently signed a Memorandum of Understanding (MoU) to identify and evaluate opportunities for technical and commercial collaboration to improve productivity and unlock value between the two adjacent copper operations in Northern Chile, which are just 20km apart. We assessed potential synergies between the two mines and concluded that it could unlock US$2-4bn in total value through collaboration on spare cathode and sulphide milling and mining capacity, as well as water, power, tailings, and procurement, which we detail below and summarize in Exhibit 2.

The MoU marks a first step in their collaboration, and any potential JV would take time to work through (commercial terms, permit amendments/approvals, etc.) and would, in our view, take 3-5 years to realize most benefits based on likely project analysis, development, and commercial time frames. At this stage, we do not include any benefit in our base case, and our analysis is a scenario only.

- **We estimate US$2-4bn of key potential synergies:** Our assessment of the two mines indicates there could be US$1.0-1.7bn of potential synergy value for Spence, and US$1.1-1.9bn for Sierra Gorda (both on a 100% basis) through collaboration on (outlined in the MOU but expanded by GS based on our analysis):
  - **Spare cathode capacity:** Sierra Gorda (SG) has an oxide ore stockpile containing ~320kt of copper that could be trucked and processed at the Spence dynamic heap leach and cathode plant, which has ~130ktpa of spare cathode capacity. We think ore could be trucked and stacked at Spence over a 5-year period. The leaching/residence time period is ~3-6 months for oxides with an average recovery of ~70%. This could generate ~US$200mn p.a. of EBITDA on our estimates.
  - **Optimizing/combining mine plans to fill sulphide mills:** Longer-dated sulphide ore feed sharing between concentrators can be achieved through combining mine plans. For example, the Spence concentrator is only operating at 90% of nameplate (95ktpd) due to clay issues, but the mining fleet may have spare capacity (we note that our 2024 site visits suggest that SG's mining fleet is more efficient than Spence's), which could supply

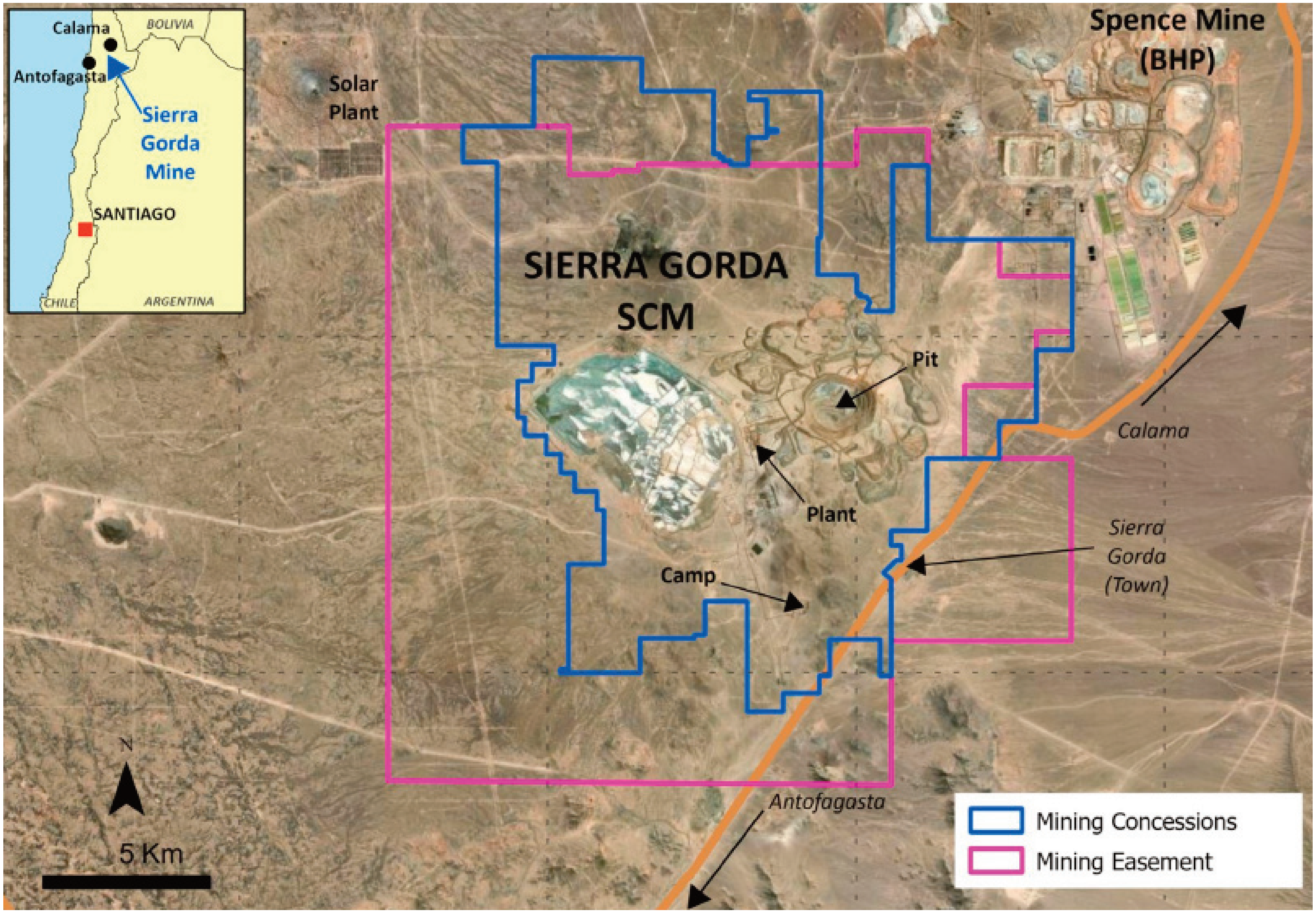
higher-grade ore to Spence. S32 recently announced that the Sierra Gorda JV has given final investment approval for its fourth grinding line (already in our base case), a brownfield plant expansion that will increase processing capacity from ~48Mtpa to ~58Mtpa (or from ~130ktpd to ~160ktpd; 100% basis). Note that BHP is due to reach FID on the ~US$0.6bn Spence concentrator de-bottlenecking project (lifting throughput from 95ktpd to 105ktpd and recoveries by 3-7%) in 2027, and S32 recently announced an exploration target on the Catabela Northeast prospect (adjacent to the Catabela pit) of between 1.1-2.9Bt @ 0.45-0.48% TCu, with a technical assessment to be completed in 2026. This could extend the mine life of SG beyond the current ~20 years. Both plants have further expansion potential, and mine plans and mining fleets could be optimised to maximise production and lower costs.

- **Procurement, Maintenance, and Concentrate transport savings, etc.:** Cost savings could be achieved by combining procurement contracts such as equipment, explosives, chemicals, and concentrate transport. We estimate that 20-30% of site costs for both assets relate to maintenance and procurement. Assuming a 10% saving on annual procurement spend, we think the annual savings that could potentially be achieved are ~US$10mn for Sierra Gorda (S32's share) and ~US$30mn for Spence.
- **Tailings:** Depositing Spence tailings at SG could defer potentially >US$500mn of remediation capex. BHP is spending over US$1bn on extra drainage and higher walls (lifts) from FY26-30. BHP is evaluating non-conventional tailings (such as high density thickening and dry stacked tailings) to be implemented towards the back end of the decade, including high-rate thickeners that SG is already operating. The 4th milling line at SG requires tailings solid density to be increased to 62% solids (w:w). Spence is increasing its density from 53% to 65% solids, creating the possibility of depositing into the SG dam and deferring capex.
- **Water & Power:** Additional water supply from SG could underpin a possible future 5th milling line at SG (in addition to the recently approved 4th milling line), and could even be used on the heap leach at Spence, assisting the ful-sal leach technology (which uses salt as the catalyst for leaching secondary sulphides). SG has available seawater of 1,500l/s through a third-party provider and the 4th milling line will increase usage to ~80-85%. A 5th milling line at SG would push consumption beyond 90%, although we believe the pumps could be upgraded and sped up to increase flowrate beyond 1,500. Spence has a desalination plant running at 870l/s, but this is expected to reach full capacity of 1,000l/s by 2028 as it has some small take-or-pay commitments with third parties. Due to different design and materials, we note that the Spence plant cannot process seawater, but SG can process both seawater and desalinated water. Regarding power, SG has 20-30MW of spare power in its contract that could be utilised by Spence.
- **Technology sharing:** This includes truck automation, milling and copper and molybdenum flotation optimisation, high-rate thickener operational learnings, and others.

- **Potential value uplift:** We value Spence at US$8.4bn (~3% of BHP's NAV) and Sierra Gorda at US$10.4bn (on a 100% basis, S32's share ~35% of group NAV) despite Spence producing ~210ktpa of copper vs. Sierra Gorda at ~150-160ktpa. SG has a lower grade than Spence but is lower-cost and has higher by-product credits (Mo, Au, etc.), which results in a higher margin and generates more FCF/lb of copper. The potential ~US$1.3bn (mid-point) for Spence would represent ~US$0.25/sh, or a ~0.5% uplift, for our BHP NAV, and ~US$1.5bn for Sierra Gorda (100% basis). We note these synergies represent ~10-20% of our NPV of the assets. We are Buy-rated on BHP.AX, Neutral-rated on BHP.L, and Not Rated on S32.AX and S32.L. In our view, deals like this make strong strategic sense, and we would expect BHP to pursue further similar transactions or asset-level JVs going forward, particularly across the Americas.

Overview of potential synergies

Exhibit 1: BHP's Spence copper mine and the Sierra Gorda (KGHM 55%/South32 45%) in Northern Chile are just 20km apart



Source: Company report

Exhibit 2: Key potential synergies could reach US$2-4bn: Our assessment of the two mines indicates there could be US$1.0-1.7bn of potential synergy value for Spence, and US$1.1-1.9bn for Sierra Gorda (both on a 100% basis) through collaboration on the following:
Spence & Sierra Gorda's potential operational and financial synergies

Benefit / synergy	Details	Financial impact type	BHP synergy (US$bn)	S32 synergy (US$bn)	Sierra Gorda 100% (US$bn)	Assumptions / Comments
EBITDA / Opex synergies (US$bn)						
Oxide ore from SG processed at Spence cathode plant	Spence has ~130ktpa of spare cathode capacity, and SG has an oxide ore stockpile containing ~320kt of copper (90Mt @0.35% Cu)	EBITDA	0.18	0.08	0.18	Based on profit sharing of trucking and processing oxides at Spence. Assume ore is trucked and stacked at Spence over a 5 year period. Leaching/residence time period is ~3-6m for oxides with average recovery of ~70%
Tailings from Spence deposited at SG tailings to defer capex	BHP is spending over US$1bn on extra drainage and higher walls from FY26-30	Opex	(0.08)	0.04	0.08	Assume some tailings from Spence can be deposited at SG by 2030 with SG receiving a fee from Spence of US$2-4/t. We believe BHP won't be able to fully defer all tailings remediation capex
Procurement, Maintenance and Concentrate transport savings etc	Joining procurement contracts such as equipment, explosives, chemicals, concentrate transport	Opex	0.03	0.01	0.02	Assume 10% saving on annual procurement & maintenance spend etc which we estimate represetnes ~25% of total costs for both sites. Equates to an annual saving of ~US$10mn for Sierra Gorda (S32 share) and ~US$30mn for Spence
Optimising/combining mine plans - longer dated sulphide ore feed sharing between concentrators	Spence concentrator is only operating at 90% of nameplate due to clay issues, bur the mining fleet might have spare capacity	EBITDA	0.08	0.04	0.08	SG could have a larger resource base than Spence when including the potential 1-3Bt Catabela NE discovery located between SG and Spence. Both plants have further expansion potential and mine plans and mining fleets could be optimised to maximise production and lower costs. e.g. a ~10% uplift in production at Spence is worth ~US$2.5bn (NPV) at our LR copper price of US$5.2/lb (real $)
Total (US$bn p.a.)			**0.22**	**0.16**	**0.37**	
Capex synergies (US$bn)						
Tailings from Spence deposited at SG tailings to defer capex	BHP is spending over US$1bn on extra drainage and higher walls from FY26-30	Capex	0.50	NA	NA	Assume some tailings from Spence could be deposited at SG by 2030 with SG receiving a fee from Spence, although permits/approvals might need amending. BHP will unlikely be able to fully defer all capex as some remedial work is required
Water supply	SG has a 1,500l/s seawater pipeline and Spence has a 1,000l/s de-sal plant and pipeline	NPV	0.10	0.10	0.22	Additional water supply from SG could underpin a possible future 5th milling line at SG (in addition to the recently approved 4th milling line), and even be used on the heap leach at Spence assisting the ful-sal leach technology
Total (US$bn p.a.)			**0.60**	**0.10**	**0.22**	
NPV of synergies (US$bn)						
NPV - EBITDA / opex synergies			0.72	0.55	1.23	DCF over ~10yrs starting in Yr 3-5 (e.g. oxides 5yrs, sulphides and other synergies ~10-20yrs)
NPV - capex synergies			0.60	0.10	0.22	
NPV - total synergies			**1.32**	**0.65**	**1.45**	GSe
Total synergies NPV range			**1.0 - 1.7**	**0.5 - 0.8**	**1.1 - 1.9**	+ / - 30% NPV
Indicatve value uplift (US$/sh)			**0.25**	**0.15**		Mid point

Source: Company data, Goldman Sachs Global Investment Research

Spence and Sierra Gorda copper projects

Exhibit 3: We value Spence at US$7.7bn (~3% of BHP's NAV) and Sierra Gorda at US$10.4bn (on a 100% basis, S32's share ~35% of group NAV) despite Spence producing ~210ktpa of copper vs. Sierra Gorda at ~150-160ktpa. This is due to SG's lower costs and, therefore, higher margin and FCF
Spence and Sierra Gorda copper project summary table (100% basis)

Item	Units	Spence	Sierra Gorda
Ownership	%	BHP 100%	S32 45%, KGHM 55%
R&R (as at June 2025)			
Reserve	Bt / % Cu	0.8Bt @ 0.5% Cu	0.7Bt @ 0.4% Cu
Resource	Bt / % Cu	2.3Bt @ 0.4% Cu	1.8Bt @ 0.4% Cu
Production (FY26)			
Ore mined	Mt	52	47
Strip ratio	Waste:Ore	0.8	1.8
Ore treated	Mt	52	46
Concentrator capacity	ktpd	95	130
Cathode palnt capacity	ktpa	200	na
Head grades - sulphides	% Cu / % Mo	0.6 / 0.02	0.4 / 0.02
Head grades - heap leach	% Cu	0.6	na
Recovery rates - sulphides	% Cu / % Mo	71% / 14%	81% / 35%
Recovery rates - heap leach	% Cu	70%	na
Copper in concentrate (payable)	kt	121	154
Cathode production	kt	91	na
Copper production total	kt	213	154
By-product production	kt Mo / koz Au / Moz Ag	0.9 / 12.7 / 1.3	3.7 / 40.9 / 1.6
Copper equivalent production	kt	228	183
Unit costs (FY26)			
Cash costs (incl TC/RCs)	US$/t / US$/lb	24 / 2.7	18 / 2.4
By-product credits (Mo, Au, Ag)	US$/lb	0.4	1.4
Cash costs net credits (incl TC/RCs)	US$/lb	2.3	1.0
Capital expenditure (FY26-30)			
Development	US$mn	1,180	831
Sustaining	US$mn p.a.	414	305
Pricing			
Commodity pricing (GSe LR)	US$/lb Cu / Mo / US$/oz Au / Ag	5.2 Cu / 18.1 Mo / 3,800 Au / 52 Ag	
Copper conc payability	%	97%	97%
Financials (FY26)			
Revenue	US$mn	2,832	2,459
Opex	US$mn	1,245	859
EBITDA	US$mn	1,587	1,599
EBITDA margin	%	56%	65%
FCF	US$mn	557	558
Valuation			
NPV (100%)	US$bn	7.7	10.4
NAV per share (equity share %)	US$/sh / A$/sh	1.6 / 2.3	1.0 / 1.4
% group NAV	%	3%	34%
% group EBITDA (FY26)	%	5%	30%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Additional water supply from SG could underpin a possible future 5th milling line at SG (in addition to the recently approved 4th milling line), and even be used on the heap leach at Spence, assisting the ful-sal leach technology (which uses salt as the catalyst for leaching secondary sulphides). SG has available seawater of 1,500l/s through a third-party provider and the 4th milling line will increase usage to ~80-85%. A 5th milling line at SG would push consumption beyond 90%

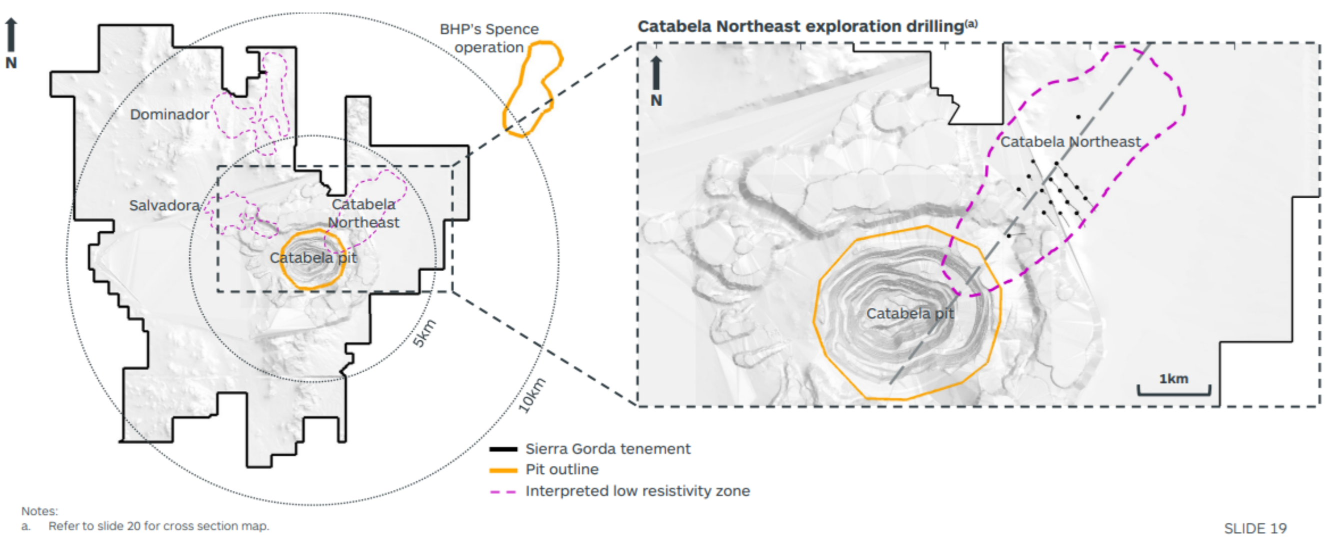
Spence and Sierra Gorda ore processed, throughput, and water consumption balance

	Unit	Ore throughput (FY26)	Nameplate	Expansion*	Expansion^
Spence (sulphide ore) processed	Mtpa	31	35	38	
	ktpd	85	95	105	
Spence (water) consumption	Mm3pa	25	28	31	
	l/s	789	880	972	
Sierra Gorda (sulphide ore) processed	Mtpa	46	48	58	68
	ktpd	127	132	159	186
Sierra Gorda (water) consumption	Mm3pa	28	29	35	41
	l/s	884	920	1,104	1,294

* Based on current expansions; Spence concentrator de-bottlenecking project (lifting throughput from 95ktpd to 105ktpd) and the SG 4th milling line. ^ based on possible 5th milling line at SG. Current water capacities (available) are: Spence 1,000l/s of de-sal, and SG's seawater supply contract with ENGIE, which ensures a flow of 1,500l/s from the Mejillones 1 and 2 thermal power plants until 2034. Based on industry benchmarking, we have assumed 0.6m3 of water per tonne of ore processed at SG, and 0.8m3 per tonne ore ore processed at Spence (to reflect higher water consumption for heap leach).

Source: Company data, Goldman Sachs Global Investment Research

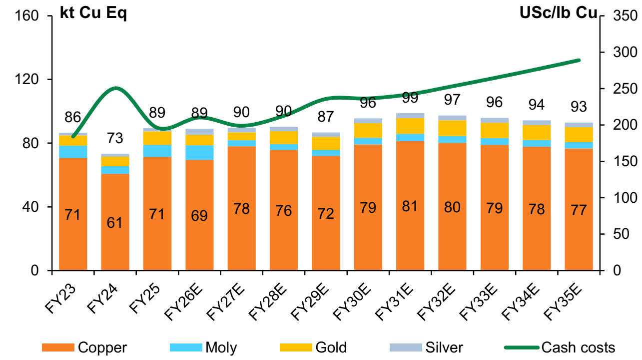
Exhibit 5: S32 recently announced an exploration target on the Catabela Northeast prospect (adjacent to the Catabela pit) of between 1.1-2.9Bt @ 0.45-0.48% TCu, with a technical assessment to be completed in 2026. This could extend the mine life of SG beyond the current ~20 years. Both plants have further expansion potential and mine plans and mining fleets could be optimised to maximise production and lower costs.



Source: Company reports

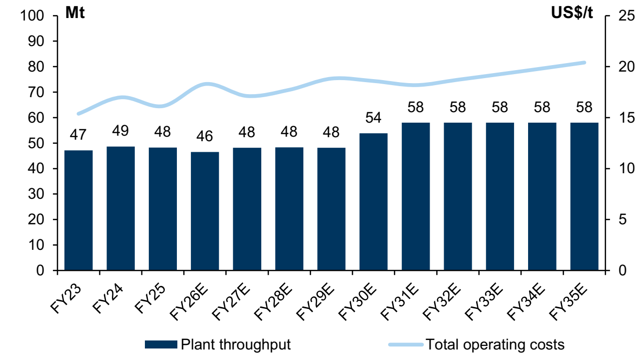
Production and valuation charts

Exhibit 6: Sierra Gorda is a highly efficient mining operation considering copper grades are just ~0.4% Cu with recoveries of ~80%
Sierra Gorda Cu Eq production by metal and cash costs (USc/lb Cu Eq) - S32 45% share on a payable basis



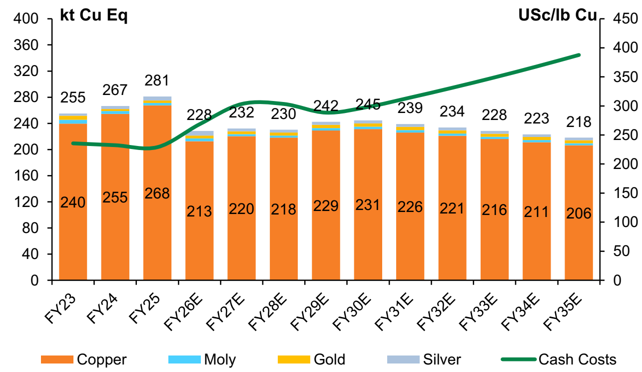
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: The 4th milling line will increase throughput by a further ~20% to ~58Mtpa (~160ktpd)
Plant throughput (Mtpa) and total operating costs (US$/t milled) - 100% basis



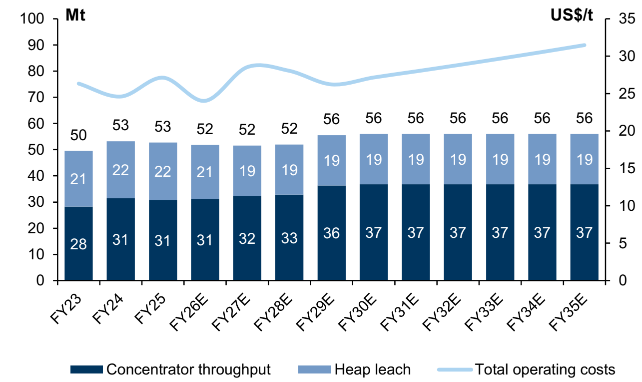
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: Spence is producing ~210ktpa of copper vs. Sierra Gorda at 150-160ktpa and SG has a lower grade than Spence; however, SG is lower cost and has higher by-product credits (Mo, Au, etc.), is higher margin, and generates more FCF/lb of copper
Spence Cu Eq production by metal and cash costs (USc/lb)



Source: Company data, Goldman Sachs Global Investment Research

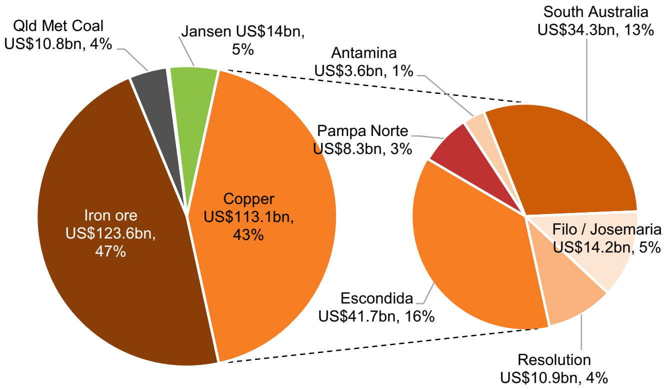
Exhibit 9: The SG oxide ore stockpile could be trucked and processed at the Spence dynamic heap leach and cathode plant, and could be trucked and stacked at Spence over a 5-year period.
Plant throughput (Mtpa) and total operating costs (US$/t milled)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: We value Pampa Norte (~US$7.7bn Spence and ~US$0.6bn Cerro Colorado) at ~US$8.3bn or ~US$1.6/sh for BHP

BHP's NAV (US$bn & %)



Source: Goldman Sachs Global Investment Research

BHP Group Limited (BHP.AX, BHPB.L)

Investment thesis and risks

We continue to **rate BHP.AX a Buy** based on:

1. **Near term FCF & balance sheet strong, supporting 60% payout:** BHP is trading on a FCF yield of around ~3% over the medium term due to capex of ~US$11bn, but at 4% at spot commodity prices and FX. With all copper growth projects including Vicuna in Argentina (Josemaria and Filo del Sol JV with Lundin Mining), Oak Dam (South Australia) and Resolution (USA, operated by RIO), this would see BHP's net debt stay around ~US$6-9bn, well within the company's US$20bn net debt ceiling. We note the recent completion of the US$4.3bn silver streaming (US$2bn Pilbara power sale expected 1H FY27) has strengthened the balance sheet further (GSe leverage just ~0.3x end of June 2026), and with strong iron ore and copper prices, we think BHP can maintain a 60% dividend payout through the forecast production dip in FY27, and fund its growth pipeline through cash flow and recycling capital from infrastructure (if needed).
2. **Optionality with ~US$50bn copper pipeline:** we continue to believe that BHP's major opportunity is growing copper production in Chile at Escondida and Spence, Vicuna in Argentina (Josemaria and Filo del Sol JV with Lundin Mining), Oak Dam (South Australia) and Resolution. BHP is targeting production growth of ~3% CAGR between FY27-FY30 (vs. our ~1.5% estimate) and 3-4% between FY30-FY35 (vs. GSe at ~2%) with the starting year of FY27 being the low point over the medium term and ~3% below FY26 due to expected lower grades Escondida.
3. **Relative valuation, but superior margins and operating performance to peers:** BHP is currently trading at ~0.9x NAV but at ~7.3x NTM EBITDA, above the 25-yr average EV/EBITDA of 6.5-7x. However, over the last 10 years, BHP has traded at a ~0.5x premium to global mining peers. We believe this premium can be partly maintained due to ongoing superior margins and operating performance (particularly in Pilbara iron ore where BHP maintains superior FCF/t vs. peers, and at Escondida copper).

We are Neutral-rated on BHPB.L on relative valuation vs. our UK mining coverage. Our NAV and our 12-month price targets are £35.4/sh and £30 (unchanged) respectively.

Our 12-month price targets are set at an equal 50:50 blend of NAV and EV/EBITDA with a 7.5x target multiple for BHP.AX and 6.0x for BHP.L.

Investment risks: (1) Macro factors: FX (AUD, CLP, CAD), commodity prices over the next 12 months, (2) Fluctuating operating costs and capex, (3) Project execution timelines, (4) Fiscal risks, (5) External M&A.

Exhibit 11: BHP.AX operating and financial summary

Commodity and FX assumptions		2024	2025	2026E	2027E	2028E	2029E	2030E
AUD:USD	**x**	**0.66**	**0.65**	**0.68**	**0.69**	**0.69**	**0.69**	**0.70**
USD:CLP	x	907	951	920	921	909	885	862
Iron ore fines (CFR, 62% Fe)	**US$/t**	**119**	**101**	**104**	**97**	**96**	**97**	**98**
Copper	**USc/lb**	**394**	**423**	**534**	**623**	**624**	**617**	**607**
Coking coal (Prem. HCC)	**US$/t**	**287**	**196**	**214**	**245**	**243**	**248**	**253**
Thermal coal (6,000kcal)	US$/t	138	123	119	128	120	121	121
Potash	US$/t	320	314	372	365	383	408	434
Operating assumptions								
Production								
Escondida	**kt**	**1,125**	**1,305**	**1,261**	**1,063**	**1,033**	**974**	**969**
Guidance					1,000-1,100		900-1,000	
South America (ex Escondida)	kt	410	387	364	357	352	363	365
South Australia (Olympic Dam, Carra, Prom Hill)	kt	335	328	331	304	283	349	372
Copper (Consolidated)	**kt**	**1,869**	**2,019**	**1,956**	**1,724**	**1,667**	**1,686**	**1,706**
Guidance					1,650-1,800			
Copper (Equity)	**kt**	**1,391**	**1,465**	**1,420**	**1,272**	**1,228**	**1,272**	**1,295**
Iron ore	Mt	260	263	265	267	272	280	286
WAIO (100%)	**Mt**	**287**	**290**	**291**	**294**	**298**	**303**	**310**
Guidance					286-298		>305	
Met coal	**Mt**	**22.2**	**18.0**	**18.6**	**20.5**	**21.2**	**21.2**	**21.2**
Guidance					18.5-20.5		21.5-22.5	
Energy coal	**Mt**	**15.4**	**15.0**	**16.4**	**16.0**	**16.0**	**16.0**	**15.0**
Guidance								
Nickel (Nickel West & West Musgrave)	**kt**	**81**	**46**	**0**	**0**	**0**	**0**	**0**
Guidance								
Potash	**kt**				**80**	**1,200**	**2,800**	**4,100**
Guidance						Stage 1: 4,350kt		
CuEq Prod. (GS LR prices)	**Mt**	**4.68**	**4.71**	**4.62**	**4.43**	**4.46**	**4.59**	**4.69**
CuEq YoY %	**%**	**2.4%**	**0.7%**	**(2.1%)**	**(4.0%)**	**0.7%**	**2.8%**	**2.3%**
Unit Costs								
Escondida	**US$/lb**	**1.48**	**1.24**	**1.16**	**1.61**	**1.63**	**1.82**	**1.90**
Guidance				1.0-1.2		1.5-1.8		
Spence	**US$/lb**	**2.04**	**2.07**	**2.27**	**2.70**	**2.69**	**2.53**	**2.63**
Guidance				2.1-2.4		2.05-2.35		
Copper SA	**US$/lb**	**1.29**	**1.20**	**0.33**	**0.50**	**0.54**	**0.44**	**0.26**
Guidance				1.0-1.5				
WAIO (100%)	**US$/t**	**18.5**	**18.5**	**20.2**	**21.0**	**20.9**	**20.9**	**21.3**
Guidance				18.25-19.75		Med Term: < US$17.5/t		
Met coal	**US$/t**	**120**	**128**	**130**	**132**	**121**	**117**	**122**
Guidance				116-128		Med Term: < US$110/t		
Energy coal	**US$/t**	**81**	**84**	**80**	**88**	**86**	**81**	**86**
Guidance								
Financial summary	**Units**	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Revenue	US$bn	56.9	51.6	59.0	58.7	58.4	59.9	61.3
Underlying EBITDA	**US$bn**	**29.0**	**26.0**	**32.3**	**30.0**	**29.8**	**30.7**	**31.1**
Margin	%	51%	50%	55%	51%	51%	51%	51%
Underlying earnings	**US$bn**	**13.7**	**10.2**	**12.7**	**11.4**	**11.3**	**12.0**	**12.2**
EPS (pre exceptionals)	UScps	270	200	250	225	222	236	240
EPS growth	%	2%	(26%)	25%	(10%)	(1%)	6%	2%
DPS (inc. specials)	UScps	146	110	156	147	139	147	150
Payout ratio	%	54%	55%	62%	65%	63%	63%	63%
Dividend yield	**%**	**4%**	**3%**	**4%**	**4%**	**3%**	**4%**	**4%**
Cash flow								
Operating cash flow (OCF) - incl minorities	US$bn	18.5	12.8	16.7	18.3	19.1	19.2	19.4
Capex (incl. exploration)	US$bn	(8.9)	(9.4)	(10.1)	(10.8)	(10.8)	(10.8)	(11.3)
Acquisitions and divestments	US$bn	0.8	0.1	0.4	(0.1)	(0.2)	(0.2)	(0.2)
FCF - excluding dividends	**US$bn**	**10.5**	**3.5**	**7.0**	**7.3**	**8.1**	**8.3**	**7.9**
FCF yield	**%**	**5%**	**2%**	**3%**	**3%**	**4%**	**4%**	**4%**
Dividends (excl minorities)	US$bn	(7.7)	(6.4)	(6.8)	(8.0)	(6.9)	(7.4)	(7.6)
Buybacks and shares issued	US$bn	0.0	0.0	0.0	0.0	0.0	0.0	0.0
FCF - before debt	**US$bn**	**2.8**	**(2.9)**	**0.2**	**(0.7)**	**1.2**	**0.9**	**0.3**
Balance sheet and Returns								
Net Debt/(Cash)	**US$bn**	**9.1**	**12.9**	**9.0**	**7.7**	**6.5**	**5.7**	**5.5**
Gearing (ND/ND+E)	**%**	**14%**	**19%**	**12%**	**10%**	**7%**	**6%**	**5%**
Leverage ratio (ND/EBITDA)	x	0.3x	0.5x	0.3x	0.3x	0.2x	0.2x	0.2x
ROA	%	13%	9%	10%	9%	8.2%	8.3%	8.1%
ROCE	**%**	**22%**	**14%**	**15%**	**12%**	**11%**	**12%**	**11%**
Total Shares O/S	bn	5.08	5.08	5.09	5.09	5.09	5.09	5.09
Valuation								
Rolling NAV	A$/sh	64.1	67.1	68.4	71.7	76.2	79.9	83.9
P/NAV	x	0.92	0.88	0.87	0.82	0.78	0.74	0.71
EV/EBITDA	x	7.6	8.6	6.8	7.3	7.3	7.0	6.9
Divisional EBITDA								
Copper	US$bn	8.6	12.3	17.5	16.2	15.3	15.0	14.7
Iron ore	US$bn	15.7	13.9	14.3	13.1	13.4	13.9	14.3
Coal	US$bn	2.3	0.6	0.9	1.5	1.6	1.9	1.8
Potash	US$bn	(0.3)	(0.3)	(0.3)	(0.4)	(0.1)	0.3	0.8
Nickel West	US$bn	(0.3)	(0.6)	(0.3)	(0.2)	(0.2)	(0.2)	(0.2)
Group and other	US$bn	3.0	0.0	0.2	(0.2)	(0.3)	(0.3)	(0.3)
Total underlying EBITDA	**US$bn**	**29.0**	**26.0**	**32.3**	**30.0**	**29.8**	**30.7**	**31.1**
Divisional Capex								
Copper (Consolidated)	US$bn	3.7	4.3	4.7	4.8	5.3	5.6	5.5
Iron ore	US$bn	2.0	2.6	3.0	3.1	3.1	3.1	3.2
Coal	US$bn	0.6	0.5	0.4	0.5	0.5	0.5	0.4
Jansen	US$bn	1.1	1.6	2.2	2.1	1.6	1.2	1.9
Nickel West (incl. West Musgrave)	US$bn	1.3	0.2	0.0	0.0	0.0	0.0	0.0
Group/other	US$bn	0.1	0.0	0.1	0.2	0.2	0.2	0.2
Exploration	US$bn	0.5	0.4	0.4	0.3	0.3	0.4	0.4
Total capex (consolidated)	**US$bn**	**9.3**	**9.7**	**10.8**	**11.1**	**11.1**	**11.0**	**11.6**
Guidance				~11	~11		Med term~10	
Sustaining	**US$bn**	**5.6**	**5.2**	**5.0**	**4.6**	**3.8**	**3.2**	**3.0**
Growth	**US$bn**	**2.6**	**3.6**	**5.1**	**6.1**	**6.9**	**7.4**	**8.2**
Exploration	US$bn	0.5	0.4	0.4	0.3	0.3	0.4	0.4
Total capex (incl Jansen infra)	**US$bn**	**9.7**	**10.2**	**11.2**	**11.3**	**11.2**	**11.1**	**11.7**
Samarco	US$bn	0.6	2.0	2.1	0.8	0.5	0.3	0.3
Filo/Josemaria	US$bn	0.0	0.0	0.3	0.6	0.8	1.3	1.6
Resolution	US$bn			0.1	0.1	0.2	0.4	0.6
Total capex/outflow	**US$bn**	**10.2**	**12.3**	**13.6**	**12.6**	**12.6**	**13.1**	**14.3**
BHP share	**US$bn**	**9.0**	**11.1**	**12.7**	**11.9**	**11.9**	**12.3**	**13.4**

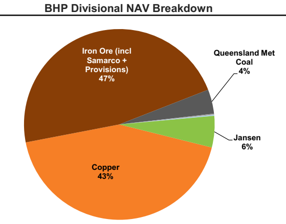
BHP 12m PT		US$/sh	A$/sh
NAV		46.4	66.3
NTM EV/EBITDA		42.5	60.7
Price Target (BHP.AX)			**63.5**
Current Share Price			59.1
Upside / (Downside)			**7%**
GS Recommendation			**BUY**

SOTP NAV Valuation	US$bn	US$/sh	A$/sh
Copper	113.1	22.3	31.8
Iron Ore (incl Samarco + Provisions)	123.6	24.4	34.8
Queensland Met Coal	10.8	2.1	3.0
Energy Coal	0.5	0.1	0.1
Nickel West (incl. West Musgrave)	(0.4)	(0.1)	(0.1)
Jansen	14.0	2.8	3.9
Divisional Subtotal	**261.6**	**51.5**	**73.6**
Corporate	(8.0)	(1.6)	(2.3)
Provisions & Rehab	(10.9)	(2.1)	(3.1)
Exploration (expense)	(3.2)	(0.6)	(0.9)
Exploration (success)	5.0	1.0	1.4
Total Corporate	**244.6**	**48.2**	**68.8**
Net (Debt)/Cash	(9.0)	(1.8)	(2.5)
BHP NAV (8.5%)	**235.6**	**46.4**	**66.3**
P/NAV			**0.89x**

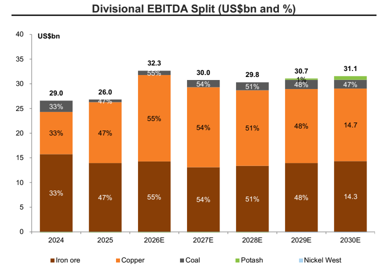
EV/EBITDA Scorecard		
Median sector multiple	**5.0x**	
Financial metrics		
Gearing (high or low)	Neutral	
EPS growth (high or low)	Neutral	
FCF growth (high or low)	Neutral	
Capital management outlook	Neutral	
ROCE (high or low)	Positive	
Operating metrics		
Mine life (>10 yrs)	Positive	
Cost/margin position	Positive	
CuEq growth - 2yr outlook	Positive	
Operating/sovereign risks	Positive	
Adjusted multiple	**7.5x**	

US$bn	2026E	2027E	NTM
NTM EBITDA split	0%	100%	
EBITDA	32.3	30.0	**30.0**
Valuation	**US$bn**	**US$/sh**	**A$/sh**
NTM EBITDA	30.0		
EV/EBITDA	7.5x		
Enterprise value	**224.8**	**44.3**	**63.3**
Net (debt)/cash	(9.0)		
Equity Value	**215.8**	**42.5**	**60.7**
NTM EV/EBITDA			**7.3x**

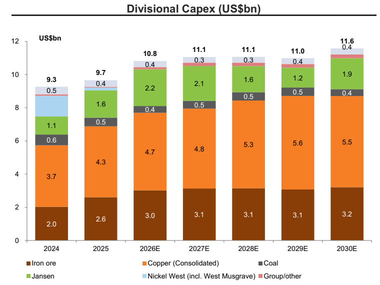
BHP Divisional NAV Breakdown



Divisional EBITDA Split (US$bn and %)



Divisional Capex (US$bn)



Source: Company data, Goldman Sachs Global Investment Research, FactSet

South 32 (S32.AX, S32.L)

We are Not Rated on S32.

Exhibit 12: S32's operating and financial summary

Commodity and FX assumptions	Units	2024	2025	2026E	2027E	2028E	2029E	2030E
AUD:USD	x	0.66	0.65	0.68	0.69	0.69	0.69	0.70
USD:ZAR	x	18.7	18.2	16.9	16.9	17.4	17.2	17.1
Aluminium	USc/lb	103	114	138	131	124	133	139
Alumina (FOB)	US$/t	367	520	322	339	365	375	393
Copper	USc/lb	394	423	534	623	624	617	607
Manganese ore (CFR China, 44% Mn)	USc/mnu	4.9	5.0	4.9	5.3	5.4	5.7	5.9
Silver	US$/oz	25	32	63	60	63	63	61
Zinc	USc/lb	116	128	144	147	148	154	159
Nickel	USc/lb	825	714	741	794	797	850	902
Operating assumptions								
Production								
South Africa Aluminium	kt	720	718	718	718	718	718	718
Mozal Aluminium	kt	314	355	248	0	0	0	0
Brazil Aluminium	kt	104	138	137	139	152	152	152
Total Aluminium	kt	1,138	1,211	1,103	857	870	870	870
Guidance				1,095	860			
Worsley Alumina	kt	3,777	3,727	3,749	3,850	3,900	3,900	3,900
Brazil Alumina	kt	1,286	1,340	1,393	1,400	1,428	1,428	1,428
Total Alumina	kt	5,063	5,067	5,142	5,250	5,328	5,328	5,328
Guidance				5,110	5,260			
Australia Manganese	kt	2,324	1,106	2,999	3,192	3,132	3,042	3,024
South Africa Manganese	kt	2,175	2,151	2,065	2,031	2,031	2,031	2,031
Total Manganese	kt	4,499	3,257	5,064	5,223	5,163	5,073	5,055
Guidance				5,000	5,200			
Cannington - Zinc	kt	61	45	39	46	45	45	45
Cannington - silver	Moz	12.7	10.3	8.6	9.3	9.3	9.3	9.3
Sierra Gorda - Copper	kt	61	71	69	78	76	72	79
Guidance				74	79			
Hermosa - Zinc	kt						17	80
Hermosa - silver	kt						1	5
CuEq Production (GS LR prices)	Mt	0.80	0.70	0.94	0.59	0.59	0.59	0.64
CuEq Growth	%	(7.0%)	(12.7%)	34.6%	(37.4%)	(0.3%)	1.2%	9.0%
Unit costs								
South Africa Aluminium	USc/lb	96	107	102	107	111	116	121
Mozal Aluminium	USc/lb	108	110	129	0	0	0	0
Brazil Aluminium	USc/lb	159	147	133	128	120	122	128
Worsley Alumina	US$/t	274	303	328	318	308	319	331
Guidance				310				
Brazil Alumina	US$/t	346	345	340	343	325	340	356
Australia Manganese	US$/dmtu	2.04	13.87	2.53	3.06	2.95	3.12	3.25
Guidance				2.40				
South Africa Manganese	US$/dmtu	2.72	3.15	3.16	3.40	3.40	3.56	3.69
Guidance				3.10				
Cannington	US$/t (ore)	154	194	189	182	174	181	190
Guidance				205				
Sierra Gorda	US$/t (ore)	17.0	16.1	18.5	17.6	17.1	18.0	17.6
Guidance				18.3				
Hermosa	US$/t (ore)						540	173
Guidance								
Financial summary		2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue and EBITDA								
Revenue	US$mn	8,296	7,610	8,029	7,368	7,406	7,740	8,588
EBITDA	US$mn	(1,075)	347	1,830	1,727	1,672	1,627	2,048
Underlying EBITDA	US$mn	1,802	1,928	2,273	2,159	2,205	2,143	2,613
Margin	%	22%	25%	28%	30%	31%	28%	31%
Earnings and dividends								
Underlying earnings	US$mn	378	663	912	790	701	502	790
EPS	UScps	(14.2)	20.5	23.2	23.4	21.6	17.4	24.5
EPS growth	%	(171%)	(245%)	13%	1%	(8%)	(20%)	41%
DPS	UScps	3.5	6.0	9.2	8.9	8.0	5.7	9.1
Payout ratio	%	(25%)	29%	40%	38%	37%	33%	37%
Dividend yield	%	1%	2%	3%	3%	3%	2%	3%
Cash flow								
Operating cash flow (OCF)	US$mn	1,119	1,335	1,531	1,680	1,093	841	1,312
Capex (incl. exploration)	US$mn	(1,076)	(957)	(1,117)	(1,440)	(1,348)	(771)	(389)
Acquisitions and divestments	US$mn	(32)	937	80	50	50	50	250
FCF - before dividends	US$mn	11	1,315	494	291	(204)	120	1,173
FCF yield	%	0%	10%	4%	2%	(2%)	1%	9%
Dividends	US$mn	(161)	(290)	(292)	(466)	(336)	(313)	(280)
Buybacks and shares issued	US$mn	(46)	(66)	(93)	(108)	(109)	(109)	(109)
FCF - before debt	US$mn	(196)	959	108	(284)	(649)	(302)	784
Shares O/S	mn	4,519	4,510	4,483	4,442	4,399	4,358	4,318
Balance sheet and Returns								
Net debt (cash)	US$m	724	(123)	(150)	133	782	1,084	301
Gearing (ND/E)	%	8%	(1%)	(2%)	1%	8%	10%	3%
Leverage ratio (ND/EBITDA)	x	0.4x	(0.1x)	(0.1x)	0.1x	0.4x	0.5x	0.1x
ROA	%	(0.4%)	10.9%	7.2%	7.1%	6.4%	5.1%	6.6%
ROCE	%	-1%	16%	11%	11%	9%	7%	9%
Total Shares O/S	mn	4.52	4.52	4.48	4.44	4.40	4.36	4.32
Divisional EBITDA		2024	2025	2026E	2027E	2028E	2029E	2030E
Worsley Alumina	US$mn	324	795	116	67	215	214	233
South Africa Aluminium	US$mn	197	154	695	566	367	431	457
Mozal Aluminium	US$mn	39	125	86	(6)	(6)	(6)	(6)
Brazil Aluminium	US$mn	(75)	191	32	43	112	131	136
Australia Manganese (60%)	US$mn	182	(105)	253	247	271	271	282
South Africa Manganese (60%)	US$mn	65	46	45	58	69	71	76
Illawarra	US$mn	522	50					
Cannington	US$mn	289	281	457	478	495	497	466
Sierra Gorda	US$mn	275	482	720	859	857	772	828
Hermosa	US$mn	(24)	(41)	(54)	(70)	(90)	(150)	232
Statutory adjustment/corporate	US$mn	(88)	(134)	(87)	(83)	(85)	(88)	(91)
Total EBITDA	US$mn	1,802	1,928	2,273	2,159	2,205	2,143	2,613
Divisional Capex								
Worsley Alumina	US$mn	106	106	145	178	161	79	81
South Africa Aluminium	US$mn	40	67	65	34	36	37	39
Mozal Aluminium	US$mn	23	21	4	0	0	0	0
Brazil Aluminium	US$mn	88	50	55	76	44	45	47
Australia Manganese (60%)	US$mn	65	115	81	50	52	53	25
South Africa Manganese (60%)	US$mn	43	44	44	15	19	24	28
Illawarra	US$mn	340	57					
Cannington	US$mn	38	49	40	92	97	99	63
Sierra Gorda (45%)	US$mn	207	216	214	179	274	251	143
Hermosa	US$mn	372	517	750	1,050	1,000	500	150
Total	US$m	1,356	1,272	1,406	1,675	1,683	1,089	575
Guidance (total capex)	US$m			1,400				
Sustaining capex	US$mn	848	684	530	382	496	708	560
Guidance (sustaining capex)	US$m			530				

Source: Company data, Goldman Sachs Global Investment Research, FactSet

Disclosure Appendix

Reg AC

We, Paul Young, Matt Greene and Chris Bulgin, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Disclosures

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Goldman Sachs and/or one of its affiliates is acting as a financial advisor in connection with an announced strategic matter involving the following company or one of its affiliates: SOUTH32 LIMITED

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BHP Group Ltd. (Buy, A$58.34), BHP Group Ltd. (Neutral, 3,055p)

The rating(s) for BHP Group Ltd. is/are relative to the other companies in its/their coverage universe: Antofagasta Plc, ArcelorMittal SA, BHP Group Ltd., Boliden, Glencore Plc, Lundin Mining Corp., Norsk Hydro, Rio Tinto Plc

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Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: BHP Billiton Plc (ADR) ($64.18), BHP Group Ltd. (A$59.14), BHP Group Ltd. (3,166p), South32 Ltd. (A$4.04) and South32 Ltd. (209.6p)

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(A$59.14), BHP Group Ltd. (3,166p), South32 Ltd. (A$4.04) and South32 Ltd. (209.6p)

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Distribution of ratings/investment banking relationships

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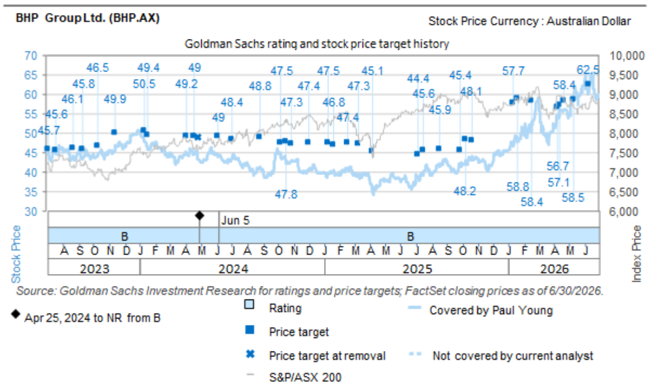
	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



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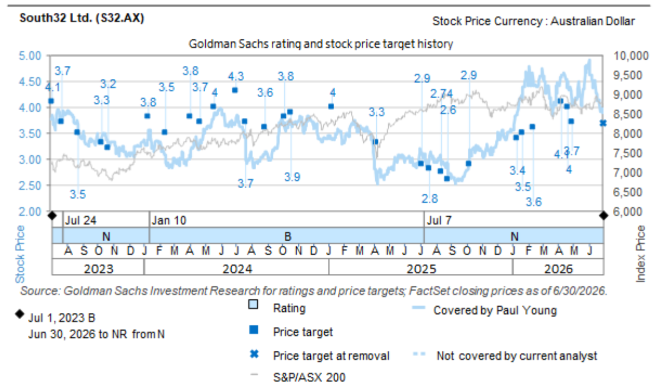

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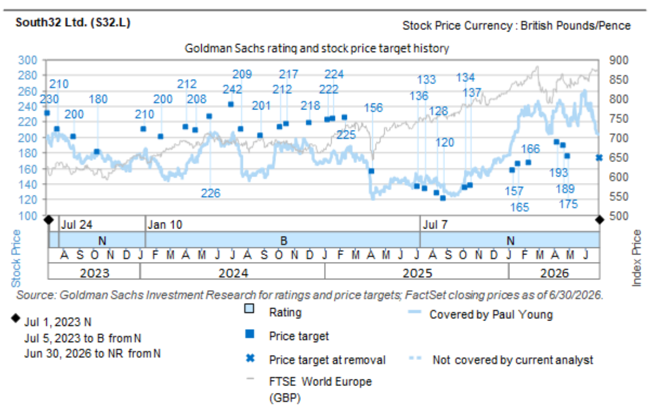

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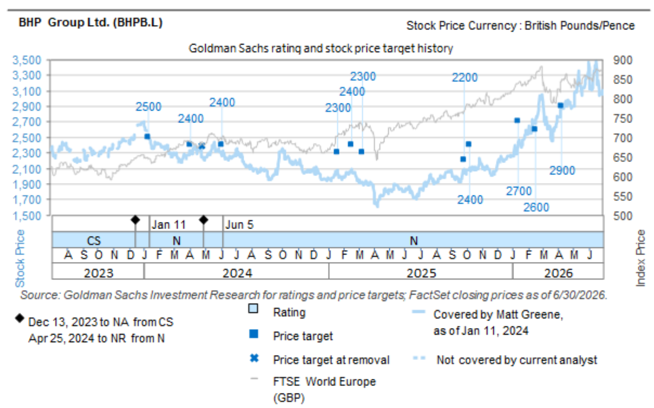

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Target price history table(s)

BHP Group Ltd. (BHP.AX)

Date of report	Target price (A$)	Closing price (A$)
08-Jul-26	63.60	57.51
10-Jun-26	62.50	60.20
11-May-26	58.50	58.33
22-Apr-26	58.40	56.17
13-Apr-26	57.10	54.35
09-Apr-26	56.70	54.56

South32 Ltd. (S32.AX)

Date of report	Target price (A$)	Closing price (A$)
30-Apr-26	3.70	4.03
22-Apr-26	4.00	4.50
09-Apr-26	4.10	4.58
12-Feb-26	3.60	4.52
22-Jan-26	3.50	4.40
12-Jan-26	3.40	3.90

BHP Group Ltd. (BHP.AX)

Date of report	Target price (A$)	Closing price (A$)
17-Feb-26	58.40	52.74
20-Jan-26	58.80	47.78
12-Jan-26	57.70	46.51
21-Oct-25	48.10	44.13
08-Oct-25	48.20	41.89
29-Sep-25	45.40	41.91
19-Aug-25	45.90	42.12
18-Jul-25	45.60	40.29
07-Jul-25	44.40	38.60
08-Apr-25	45.10	35.38
12-Mar-25	47.30	38.95
18-Feb-25	47.40	40.97
21-Jan-25	46.80	40.61
09-Jan-25	47.50	39.27
01-Dec-24	47.40	40.57
29-Oct-24	47.30	43.04
17-Oct-24	47.80	42.99
08-Oct-24	47.50	43.79
27-Aug-24	48.80	41.35
02-Jul-24	48.40	43.16
05-Jun-24	49.00	43.90
18-Apr-24	49.00	45.09
03-Apr-24	49.20	44.86
18-Jan-24	49.40	45.73
10-Jan-24	50.50	47.86
14-Nov-23	49.90	46.02
10-Oct-23	46.50	44.15
11-Sep-23	45.80	43.66
22-Aug-23	46.10	43.21
20-Jul-23	45.60	44.62

South32 Ltd. (S32.AX)

Date of report	Target price (A$)	Closing price (A$)
08-Oct-25	2.90	3.01
28-Aug-25	2.60	2.70
14-Aug-25	2.74	2.90
21-Jul-25	2.80	3.02
07-Jul-25	2.90	3.10
08-Apr-25	3.30	2.65
09-Jan-25	4.00	3.38
21-Oct-24	3.90	3.69
08-Oct-24	3.80	3.60
29-Aug-24	3.60	3.10
22-Jul-24	3.70	2.99
02-Jul-24	4.30	3.73
22-May-24	4.00	3.90
22-Apr-24	3.70	3.37
03-Apr-24	3.80	3.03
15-Feb-24	3.50	2.94
10-Jan-24	3.80	3.38
23-Oct-23	3.20	3.27
10-Oct-23	3.30	3.43
24-Aug-23	3.50	3.66
24-Jul-23	3.70	3.72

BHP Group Ltd. (BHPB.L)

Date of report	Target price (£)	Closing price (£)
09-Jul-26	3,000	2,974
10-Apr-26	2,900	2,879.5
17-Feb-26	2,600	2,715
14-Jan-26	2,700	2,440
09-Oct-25	2,400	2,114
29-Sep-25	2,200	2,093
12-Mar-25	2,300	1,880
18-Feb-25	2,400	2,065
21-Jan-25	2,300	2,040
05-Jun-24	2,400	2,282
04-Apr-24	2,400	2,328
11-Jan-24	2,500	2,481.5

South32 Ltd. (S32.L)

Date of report	Target price (£)	Closing price (£)
30-Apr-26	175	214.8
22-Apr-26	189	236.6
09-Apr-26	193	239.6
12-Feb-26	166	230
22-Jan-26	165	223
12-Jan-26	157	200.5
21-Oct-25	137	157.4
08-Oct-25	134	151
28-Aug-25	120	129.8
14-Aug-25	128	138.2
21-Jul-25	133	146.8
07-Jul-25	136	145.4
08-Apr-25	156	123.8
13-Feb-25	225	181.9
20-Jan-25	224	181.6
09-Jan-25	222	169.2
04-Dec-24	218	185.2
21-Oct-24	217	184.9
08-Oct-24	212	184.4
29-Aug-24	201	159.4
22-Jul-24	209	153.7
02-Jul-24	242	197.8
22-May-24	226	199.2
22-Apr-24	208	175.3
03-Apr-24	212	158.2

BHP Group Ltd. (BHPB.L)

Date of report	Target price (£)	Closing price (£)

South32 Ltd. (S32.L)

Date of report	Target price (£)	Closing price (£)
15-Feb-24	200	152.4
10-Jan-24	210	179.4
10-Oct-23	180	181.6
24-Aug-23	200	182.8
24-Jul-23	210	196

Price targets shown in table(s) are unadjusted for corporate actions.

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